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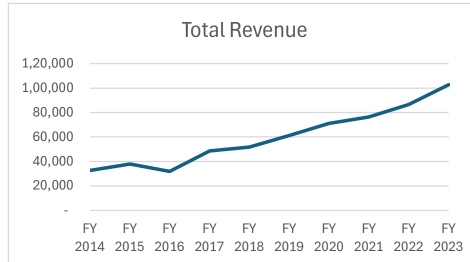
HCL Technologies LTD

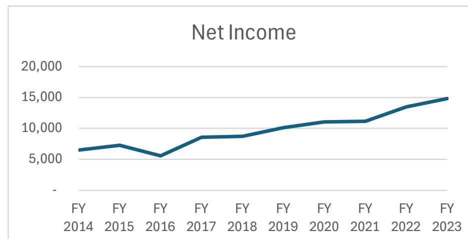
HCL Technologies Limited (HCLTech) is an Indian multinational information technology (IT) and consultant company headquartered in Noida, Uttar Pradesh. Founded by Shiv Nadar, it was spun out in 1991 when HCL entered into the software services business. The company has offices in 60 countries and over 220,000 employees. It is the third-largest India-headquartered IT services company by revenue and market capitalization as of 2024.

INR (in Crs)

Key Financial Metrics	FY 2019	FY 2020	FY 2021	FY 2022	FY 2023
Total Revenue	61,370	71,265	76,306	86,718	1,02,814
YOY Growth in Revenue	18%	16%	7%	14%	19%
EBITDA Margin (%)	24.2%	25.1%	27.5%	24.9%	23.3%
EBIT Margin (%)	20.9%	20.3%	21.4%	19.9%	19.3%
Net Progit Margin (%)	16.5%	15.5%	14.6%	15.6%	14.4%
Earning Per Share (in Rs)	37	41	41	50	55

Key Financial Ratios	FY 2019	FY 2020	FY 2021	FY 2022	FY 2023
ROE	26%	24%	20%	22%	23%
ROCE	32%	29%	27%	26%	29%
Cash Ratio	0.82	0.50	0.90	1.01	0.94
Financial Leverage Ratio	1.41	1.61	1.43	1.43	1.43
Asset Turnover Ratio	1.15	1.01	0.90	0.99	1.13
Net Operating Cycle (CCC)	13	23	-21	-58	-37





Key Takeaways:

- From FY14 to FY23, revenue grew from `₹32,821 cr to ₹1,02,821 cr - roughly 3x growth in 10 years. There was also a 52% YOY Spike in FY 17.
- EBITDA margin consistently stayed in 23-27% range. PAT margin also around 16-19% - sign of operational discipline.
- D/E Ratio was almost 0 throughout. HCL is practically a zero debt company which is very strong in balance sheet.
- Current ratio above 2:1, Quick ratio above 1:1, and Cash ratio above 0.4:1, indicating the company has ample of short term liquidity.
- Cash flow from operating is positive and growing, Free Cash Flow is also healthy indicating stronng cash flow.
- ROE in the 21-33% range & ROCE in 27-41% which is good return for shareholders.

Key Risks:

- EBITDA margin was 26.5% in FY14, down to 23.3% in FY23, a gradual decline. Rising Employee Costs ₹14,906 cr in FY14 to ₹55,280 cr in FY 23 is a major driver.
- Receivables days increasing from 63 days in FY19 to 82 days in FY 23 indicating clients are paying late, causing working capital strain.
- Cash Conversion Cycle turned negative in FY22-23. This appears positive on the suface level but actually means the company is paying its suppliers late causing long term relationship risk.
- In FY 22-23, the payout ratio became very high because of which less cash retained for reinvestment, which could limit future expansion.

Data source: Class study Material & Financial Statements (FY14-FY23)